

Software Solutions

Revenues were \$1,012.3 million in 2019 compared to \$962.0 million in 2018, an increase of \$50.3 million, or 5%. Our servicing software solutions revenues increased 2%, or \$16.5 million, primarily driven by loan growth on MSP[®] from new and existing clients, which increased 2% to 35.0 million average loans, an increase in our average revenue per loan and cross-sales to existing clients, partially offset by the effect of client contract terminations and lower transactional volumes on our core servicing software solution. Our origination software solutions revenues increased 21%, or \$33.8 million, primarily driven by growth in our loan origination system solutions from new clients, incremental revenues from current and prior year acquisitions and client contract termination fees, partially offset by attrition in our eLending business and lower professional services.

Data and Analytics

Revenues were \$165.4 million in 2019 compared to \$154.5 million in 2018, an increase of \$10.9 million, or 7%. The increase was primarily driven by strong sales execution across nearly all product lines and higher loan origination volumes.

EBITDA and EBITDA Margin

The following tables set forth EBITDA (in millions) and EBITDA Margin by segment for the periods presented:

	Year ended December 31,		Variance	
	2019	2018	\$	%
Software Solutions	\$ 599.6	\$ 567.2	\$ 32.4	6%
Data and Analytics	42.0	39.5	2.5	6%

	Year ended December 31,		Variance
	2019	2018	Basis points
Software Solutions	59.2%	59.0%	20
Data and Analytics	25.4%	25.6%	(20)

Software Solutions

EBITDA was \$599.6 million in 2019 compared to \$567.2 million in 2018, an increase of \$32.4 million, or 6%, with an EBITDA Margin of 59.2%, an increase of 20 basis points from the prior year. The increase was primarily driven by incremental margins on revenue growth and expense reduction initiatives.

Data and Analytics

EBITDA was \$42.0 million in 2019 compared to \$39.5 million in 2018, an increase of \$2.5 million, or 6%, with an EBITDA Margin of 25.4% in 2019 compared to 25.6% in 2018. The EBITDA Margin decrease was primarily driven by higher operating expenses.

Consolidated Financial Results

Operating Expenses

The following table sets forth operating expenses by segment for the periods presented (in millions):

	Year ended December 31,		Variance	
	2019	2018	\$	%
Software Solutions	\$ 412.7	\$ 394.8	\$ 17.9	5 %
Data and Analytics	123.4	115.0	8.4	7 %
Corporate and Other	109.9	115.6	(5.7)	(5)%
Total	\$ 646.0	\$ 625.4	\$ 20.6	3 %

The increase in Operating Expenses was primarily driven by higher net personnel costs, technology-related costs and acquisition-related costs in our Software Solutions segment. The increase in our Data and Analytics segment primarily related to higher net personnel costs and higher data costs related to revenue growth. The decrease in Corporate and Other was primarily driven by lower incentive bonus expense.